Supreme Court, U.S.
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In The

Supreme Court of the United States

October Term, 1998

PAUL E. PATTON,

Cross-Petitioner,

v.

ROBERT E. GABLE, A.B. CHANDLER, III, KENTUCKY REGISTRY OF ELECTION FINANCE, DONALD L. COX, MORRIS E. BURTON, JAMES E. BOYD and JOHN Y. BROWN, III,

Cross-Respondents.

On Petition For A Writ Of Certiorari To The United States Court Of Appeals For The Sixth Circuit

CONDITIONAL CROSS-PETITION

VIRGINIA HAMILTON SNELL
Counsel of Record
FRANK F. CHUPPE
DEBORAH H. PATTERSON
WYATT, TARRANT & COMBS
Citizens Plaza
Louisville, Kentucky 40202-2898
(502) 589-5235

DENIS FLEMING, JR.
General Counsel
Office of the Governor
The Capitol
700 Capitol Avenue, Suite 103
Frankfort, Kentucky 40601-3492
(502) 564-2611

Counsel for Cross-Petitioner
Paul E. Patton

COCKLE LAW BRIEF PRINTING CO., (800) 225-6964
OR CALL COLLECT (402) 342-2831

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QUESTION PRESENTED FOR REVIEW

Cross-Respondent Robert Gable has petitioned this Court for a Writ of Certiorari on two questions relating to the constitutionality of Kentucky's campaign finance law. Pet. at i. Should the Court grant the Petition, Cross-Petitioner Paul E. Patton, Governor of Kentucky, respectfully requests this Court's review of the following third question relating to the constitutionality of an essential component to the same legislation:

Whether it is constitutional to induce candidates to participate in a voluntary system of public financing by prohibiting a gubernatorial candidate from waiting until after the final preelection reporting deadline to make personal contributions to her own campaign in excess of the voluntary spending limits.

PARTIES TO THE PROCEEDING

The cross-petitioner in this Court is Paul E. Patton, Governor of the Commonwealth of Kentucky, who was also the defendant-appellee/cross-appellant below. Cross-respondents are Robert Gable, who was plaintiff-appellant/cross-appellee below, and A.B. Chandler, III, Kentucky Registry of Election Finance, Donald L. Cox, Morris E. Burton, James E. Boyd, and John Y. Brown, III, all of whom were defendant-appellees/cross-appellants below, and are respondents to the opening Petition.

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OPINIONS BELOW

The Opinion of the court of appeals is reported at 142 F.3d 940 (6th Cir. 1998), and is attached to the Petition for a Writ of Certiorari at Appendix 1a. The Opinion of the district court is unreported and is attached to the opening Petition for a Writ of Certiorari at Appendix 28a.

JURISDICTION

This Conditional Cross-Petition for a Writ of Certiorari incorporates the Jurisdiction statement set forth in the opening Petition with the following additions. The opening Petition in this action was docketed with the Supreme Court on November 30, 1998. This Conditional Cross-Petition is timely, and hence this Court has jurisdiction, pursuant to Supreme Court Rule 12.5.

CONSTITUTIONAL PROVISIONS AND STATUTES INVOLVED

Cross-Petitioner Governor Patton concurs with the statement of Constitutional Provisions and Statutes Involved contained in the original Petition.

STATEMENT OF THE CASE

The court of appeals and the district court before it upheld the constitutionality of all but one component of

Kentucky's campaign financing reform system. This Conditional Cross-Petition seeks review of the constitutionality of that discreet, yet vital, provision of a law which works to prevent corruption and preserve public confidence in the election process by providing incentives to encourage candidates to accept voluntary spending limits.

Against the backdrop of a history of political corruption in state elections, the Kentucky General Assembly in 1992 enacted campaign finance reforms. The reforms were designed to restore and protect the integrity of elections in this Commonwealth. Central to the legislation was public financing for candidates, a legally established means for limiting a candidate's aggregate contributions and expenditures. *Buckley v. Valeo*, 424 U.S. 1, 57 n.65 (1976).

Participation in Kentucky's public financing program, and its attendant expenditure limits, is entirely voluntary. The legislation encourages participation, however, by matching $2 in public funds to each $1 of privately raised funds for gubernatorial slates choosing to accept public financing ("Participating Slates"). 121A.060(3)(c). Participating Slates voluntarily accept a limit on private contributions in each of the primary and general elections of $600,000, making a maximum of $1.2 million available in matching funds, for a total voluntary spending limit of $1.8 million for Participating Slates in each election. KRS 121A.080(1).

Gubernatorial slates electing not to accept public financing ("Nonparticipating Slates") are not limited by

the $1.8 million spending limit. However, if a Nonparticipating Slate accepts more than $1.8 million in contributions in a primary or general election campaign, it will "trigger" the suspension of the spending limit on an opposing Participating Slate ("the Trigger"). KRS 121A.030(5). The Participating Slate may then resume accepting contributions in excess of the limit. To insure that a Participating Slate will continue to be less dependent on donors, it will continue to receive the $2 for $1 match of public funds once the Trigger has been pulled and the limit has been lifted.

For the Trigger provision to have any practical effect, there must be a mechanism through which to determine when a Nonparticipating Slate has accepted contributions exceeding the $1.8 million limit. This determination must be made sufficiently prior to the election to allow a Participating Slate a meaningful opportunity to resume its own fundraising. Otherwise, the Trigger would be ineffective and, consequently, candidates would be deterred from accepting public financing and voluntary spending limits.

Accordingly, the legislation regulates the time period in which slates may accept contributions by prohibiting any gubernatorial slate (whether Participating or Nonparticipating) from knowingly accepting any campaign contribution after the final preelection reporting deadline, which is 28 days before a primary or general election[1]

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[1] The final preelection reporting period is 28 days before a primary or general election, or 14 days before a run-off primary. *See* KRS 121A.030(5). The 1996 General Assembly changed the timing window from 30 days to 28 days to have it coincide with

("the 28-Day Timing Window"). KRS 121A.030(5). However, if a Nonparticipating Slate "pulls" the Trigger by accepting contributions in excess of the $1.8 million limit, all slates may resume accepting contributions during the 28-Day Timing Window.

Robert E. Gable, original Petitioner and Cross-Respondent in this action, was an unsuccessful candidate for the 1995 Republican nomination for Governor of Kentucky. Gable elected not to receive transfers from the public fund and therefore was not subject to the $1.8 million spending limit in Kentucky's campaign finance reform legislation. His slate was subject to the reporting requirements and timing restrictions for contributions during the 28-Day Timing Window. Gable filed suit in the United States District Court for the Eastern District of Kentucky challenging the constitutionality of numerous provisions of Kentucky's campaign finance reform law. Defendants included the Kentucky Registry of Election Finance as the agency responsible for enforcement of the legislation, Governor Paul E. Patton, and other state and local officials.

On March 29, 1996, the district court, pursuant to 28 U.S.C. §§ 1331 and 1343, declared constitutional all but a portion of one of the law's provisions. Pet. App. at 28a. While recognizing that this Court in *Buckley v. Valeo* never addressed the question of "whether a 'time' restriction limiting when a candidate may contribute to his own campaign is constitutionally permissible," the district

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the due date of the campaign finance report. *See* HB 130 (1996) p. 4, 1996 Ky. Acts ch. 102 and ch. 153, secs. 2 and 12.

court nonetheless relied on *Buckley* to enjoin enforcement of KRS 121A.030(5) to the extent it prohibits a candidate from contributing to her own campaign during the 28-Day Timing Window. Pet. App. at 31a-33a. Both sides appealed. On April 30, 1998, the United States Court of Appeals for the Sixth Circuit affirmed the district court judgment in *Gable v. Patton*, 142 F.3d 940 (6th Cir. 1998). Pet. App. at 1a. Both sides petitioned for rehearing and rehearing en banc, which the court of appeals denied on July 28, 1998.

The court of appeals unanimously upheld the Trigger provision of the campaign finance legislation as an inducement which is narrowly tailored to further Kentucky's compelling interest in eliminating actual and perceived corruption in the election process. Pet. App. at 15a. The court also unanimously upheld the 28-Day Timing Window insofar as it prohibits contributions by third parties to the candidate during the 28 days preceding the election. In so doing, the court explicitly recognized that the Window forms an important part of the public financing scheme and merely requires candidates to "rearrange their fundraising by concentrating it in the period before the 28-Day Window begins." Pet. App. at 19a.

By a two to one vote, the court of appeals, while professing sympathy for its administrative goals, found that the 28-Day Timing Window was unconstitutional insofar as it prohibits contributions by a candidate to her own campaign during the 28 days preceding the election. Pet. App. at 24a. The majority relied entirely on *Buckley v. Valeo* in reaching its decision, though conceding "one possible distinction between the 28-Day Window and the

internal expenditure provisions struck down in *Buckley*." Pet. App. at 20a.

> Although *Buckley* pointed out that a candidate's use of his own money does not lead to corruption, Kentucky's interest in preventing actual and apparent corruption is served by the 28-Day Window's application to internal expenditures, albeit indirectly. Extension of the 28-Day Window to internal expenditures increases the effectiveness of the Window, which increases the effectiveness of the Trigger, which, in turn, strengthens the incentives for participating in Kentucky's campaign finance scheme, a scheme which is clearly aimed at the prevention of actual and apparent corruption.

Pet. App. at 20a.

By separate Opinion, Circuit Judge Cudahy concurred with the panel on all points except for that part of the majority opinion which invalidates the 28-Day Timing Window as it applies to internal contributions by candidates. His dissent took issue with the majority's reliance on *Buckley's* prohibition against *direct* quantity restrictions on political communication, stating that the Kentucky provision affects only *when* contributions are made, not how much.

> Nor does the 28-Day Window involve the evil at which *Buckley* was aimed. *Buckley* was concerned that a candidate not be prohibited from contributing to, and spending money on, her own candidacy. *See id.* at 52-53. Certainly that freedom is not at stake here. Candidates are free to make contributions, as frequently as they wish and of whatever magnitude they choose, before the advent of the 28-Day Window.

Pet. App. at 260.

Judge Cudahy recognized that "[a]ll the 28-Day Window provides is *notice* that the contribution has been made and an opportunity for the opponent to respond." Pet. App. at 26a (emphasis in original). As a result, the Window "removes the unfairness of last-minute, unreported contributions." Pet. App. at 26a.

> In sum, the majority is troubled that the 28-Day Window is a "burden" on a candidate's freedom to speak with her own dollars. But the alternative is to construct a special right to speak with unreported dollars at the last minute when no response is possible. I do not believe that the First Amendment requires such a perverse construction, and I therefore respectfully dissent with respect to this issue.

REASONS FOR GRANTING CONDITIONAL CROSS-PETITION

In his opening Petition docketed with the Court on November 30, 1998, Petitioner/Cross-Respondent Gable urges the Supreme Court to re-examine the constitutionality of Kentucky's campaign finance reform framework, specifically the law's "Trigger" provision and the application of its "28-Day Timing Window" to outside contributions. Should the Court in its discretion determine that Petitioner Gable has presented compelling reasons for review and accordingly grants the Petition, then the Court also should grant this Conditional Cross-Petition. All of Petitioner Gable's stated reasons for review must and do apply with equal force to this Cross-Petition. In short, if Kentucky's campaign finance reform law is to

be reevaluated at all, it should be evaluated in its entirety, with all its essential working components.

The Petition states that "[t]his case raises issues of national importance that were not resolved by this Court's decision in *Buckley v. Valeo*, 424 U.S. 1 (1976)." Pet. at 6. Certainly this sweeping generalization applies with equal force to the question at issue in this Conditional Cross-Petition – namely, whether the First Amendment precludes a law that prohibits a gubernatorial candidate from making contributions to her own campaign after the final preelection reporting deadline. The purpose and ultimate effect of the timing requirement is to provide publicly funded candidates adequate time to respond with additional fundraising when their privately funded opponent has accepted contributions in excess of the voluntary spending limits.

Every court that has ruled on Kentucky's timing limitations on candidate contributions has conceded to varying extents that *Buckley* does not speak directly to the issue. *See supra* at 4-6. As the court of appeals dissent most cogently points out, the *Buckley* decision only invalidated a ceiling on a candidate's expenditure of her own money. It did not even address, much less invalidate, any other regulation of the candidate's contributions of money to her campaign.

Because *Buckley* held only that candidates cannot be limited in the *amount* of their own money spent in support of their campaigns, that holding is inapplicable in this case. *Buckley* said nothing about "time, place or manner" regulations that might limit *when* candidates could

make those contributions. In *Buckley*, the Court explained:

> [T]he critical difference between this case and . . . time, place, and manner cases is that the present Act's contribution and *expenditure limitations impose direct quantity restrictions* on political communication and association by persons, groups, candidates, and political parties in addition to any reasonable time, place, and manner regulations otherwise imposed. *A restriction on the amount* of money a person or group can spend on political communication during a campaign necessarily reduces the quantity of expression by restricting the number of issues discussed, the depth of their exploration, and the size of the audience reached.

Buckley, 424 U.S. at 18-19 (emphasis added).

The 28-Day Timing Window does not restrict the amount of the candidate's own money which he may spend on "speech" supporting his candidacy. Nonparticipating Slates may spend as much as they please. They merely have to inform the Registry of Election Finance prior to the 28-Day deadline that they intend to spend more than the voluntary limit, thereby pulling the Trigger. Unlike the expenditure limitations at issue in *Buckley*, the 28-Day Timing Window regulates only the time in which the candidate's money must be deposited to the candidate's campaign account and reported. The candidate continues to be free to expend as much as he wishes on his campaign during the 28 days preceding the election. As Judge Cudahy recognized in his dissent:

> To justify its result, the majority is not, as it claims, merely applying *Buckley v. Valeo*, 424

> U.S. 1 (1976). Instead, the majority is extending that case in a fashion that *Buckley* specifically forecloses. As the majority concedes, *Buckley* authorizes "reasonable time, place, and manner regulations, which do not discriminate among speakers or ideas, in order to further an important governmental interest unrelated to the restriction of communication," provided that the regulations do not impose "*direct* quantity restrictions on political communication and association." 424 U.S. at 18 (emphasis added). . . .

Pet. App. at 25a.

Based on the foregoing, and using Petitioner Gable's own reasoning, it is clearly a matter of national importance for this Court to clarify whether the 28-Day Timing Window is a reasonable, and hence constitutional, time, place, and manner regulation that furthers Kentucky's interest in combating corruption and upholding the integrity of its election process.

Petitioner Gable cites to several state initiatives relating to campaign finance reform and suggests that the Court should clarify the application of *Buckley* to such reform measures to "avoid multiple, disruptive lawsuits over the next electoral cycle." Pet. at 7. To the extent this Court's review would be helpful in that regard, it would likewise be helpful in clarifying the extent to which a state may restrict the timing of a candidate's contributions to her own campaign to assure the effectiveness of its entire public financing framework. All of the initiatives cited by Petitioner Gable include some type of disclosure or notification requirement whereby a candidate who voluntarily participates in spending limits is

afforded sufficient notice that a nonparticipating opponent has exceeded those limits. For instance, the California statute, cited in the Petition, raises the spending limit for participating candidates once a nonparticipating candidate has cash on hand or spends an amount equal to a certain percentage of its ceiling. Cal. Gov. Code § 85404. To effectuate that measure, the statute requires "candidates and independent committees to provide sufficient notice to the commission and to all candidates for the same office that they are approaching and exceeding the thresholds set forth in this section." *Id.*

Kentucky's 28-Day Timing Window is in effect nothing more than a "notice" requirement similar to one in the California statute.[2] As Judge Cudahy explained in his dissent, "[a]ll the 28-Day Window provides is *notice* that the contribution has been made and an opportunity for the opponent to respond." Pet. App. at 26a. The timing restriction assures Participating Slates that they will not be surprised by "last-minute, unreported contributions" by wealthy opponents that cannot be countered by their own fundraising and matching funds. Truly, if a candidate were allowed to spend millions of dollars after the final report of contributions was filed, there would be no way to afford a Participating Slate any meaningful opportunity to respond. Without the reassurance of the 28-Day Window, few candidates would agree to accept the campaign spending limitations required by the statute and

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[2] The Window does not impose any kind of ceiling on the amount of money a nonparticipating candidate can contribute to his campaign. It only requires sufficient notice so to give a publicly funded candidate the opportunity to respond. In this instance, the Kentucky legislature has determined that a 28-day notice is sufficient to achieve that goal.

thereby risk being outspent by wealthy opponents months later, in the final days before the election. If the 28-Day Timing Window cannot be applied to a candidate's personal contributions to her own campaign, the entire framework of voluntary spending limits becomes virtually unworkable.

CONCLUSION

Petitioner Gable asks this Court to exercise its judicial discretion and review the constitutionality of selected provisions of Kentucky's campaign finance law. Cross-Petitioner Governor Patton respectfully submits that granting Petitioner's writ alone would leave unresolved a critical issue concerning a state's ability to provide essential incentives to ensure the effectiveness of its reform law and to protect its interest in promoting public financing.

Respectfully submitted,

VIRGINIA HAMILTON SNELL
Counsel of Record
FRANK F. CHUPPE
DEBORAH H. PATTERSON
WYATT, TARRANT & COMBS
Citizens Plaza
Louisville, Kentucky 40202
(502) 589-5235

DENIS FLEMING, JR.
General Counsel
Office of the Governor
The Capitol
700 Capitol Avenue, Suite 103
Frankfort, Kentucky 40601-3492
(502) 564-2611

Counsel for Cross-Petitioner